Inflation Is Theft — How Modern Economics Justifies Taking Your Wealth

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Most people think inflation just means prices going up — but that's only half the story. Behind the scenes, governments and central banks are quietly expanding the money supply, distorting markets and eroding the value of your savings. Austrian economists

have been warning about this for over a century — and in a world of rising prices and digital money, their ideas are more relevant than ever.

We all feel it, even if we can't always explain it. You go to the store, and somehow your money doesn't stretch quite as far as it used to. The rent's gone up again, your favorite snacks cost more, and saving even a little each month starts to feel like a luxury. Everyone's talking about inflation, but the conversation always seems shallow — like we're treating the symptoms without really understanding the cause.

What We Think Inflation Is

In most conversations, inflation is defined as rising prices. Politicians, economists, and news anchors throw around terms like CPI or "core inflation" as if we all nodded along in Econ 101. But if you take a step back and listen to the voices from the Austrian school of economics — people like Ludwig von Mises, Friedrich Hayek, and Murray Rothbard — a very different story starts to unfold.

To them, inflation isn't about prices at all. It's about money itself — where it comes from, who controls it, and what happens when it's manipulated. From this Austrian perspective, inflation begins not at the checkout counter, but at the printing press. Or, more accurately today, at the balance sheet of a central bank. When governments create new money — whether physically or digitally — they expand the money supply. That expansion *is* inflation in Austrian terms. Prices only rise later as a consequence.

This might seem like a semantic argument, but it changes everything about how we understand what's really going on.

Who Benefits — and Who Doesn't

One of the key insights Austrian thinkers bring to the table is that newly created money doesn't flow evenly through society. It enters at specific points — usually through banks, government spending, or financial markets. Those closest to the source get to use that new money before prices have adjusted. They benefit. By the time the money trickles down to regular people, the cost of living has already crept upward.

This is known as the Cantillon Effect, and once you see it, it's hard to unsee. It's why assets like real estate and stocks often inflate long before wages do. It's why inequality deepens, even when the economy seems to be "growing."

But inflation doesn't just skew prices — it scrambles the signals that a market economy relies on. Artificially low interest rates, fueled by easy money, make it seem like the future is flush with savings. Businesses and investors, misled by these false signals, pour resources into projects that might not actually be viable. Austrian economists call this malinvestment. And when reality catches up, we get the bust.

The Ethics of It All

Austrian economists don't just see inflation as bad economics — they see it as unethical. Rothbard especially didn't hold back. To him, inflation was theft.

Think about it. You work, save, and plan your future based on the assumption that your money will hold value. Then someone, somewhere, decides to dilute it. You had no say in the matter, but you pay the price anyway. Inflation becomes a hidden tax — one that doesn't show up on your paycheck or on your ballot, but eats away at your life just the same.

It rewards debt over discipline. It benefits the state over the saver. And it props up a cycle of short-term thinking and long-term damage.

We've Been Here Before

History doesn't exactly calm the nerves on this one. We've seen it before — Weimar Germany in the 1920s, Zimbabwe in the 2000s, Argentina in recent decades. In each case, governments tried to spend their way out of trouble, flooding the system with money. The result was always the same: soaring prices, collapsing currencies, and ordinary people left holding the bag while their savings turned to dust.

But it's not just a developing-world problem or a relic of the past. Even in countries that haven't spiraled into hyperinflation, the cracks are showing. After the 2008 financial crisis — and again during the COVID-19 response — central banks pumped trillions into the global economy. The outcome? Skyrocketing asset prices, widening inequality, and a sense that the economic "recovery" mostly happened on Wall Street, not Main Street.

What's more troubling is how the field of economics itself has adapted. In many corners of academia and policy-making, economics has increasingly become less about understanding markets or promoting prosperity — and more about fine-tuning how much governments can extract from their citizens without blowing up the system. In other words, it's less about how to prevent inflation, and more about how to **manage just enough of it** to keep the machine running.

A New Kind of Money

To some, it's a speculative mess. But to others — especially those who think in Austrian terms — Bitcoin is more than an investment. It's a protest. A way to opt out of a system where the rules keep changing.

With a fixed supply of 21 million coins, no central authority, and a transparent issuance schedule, Bitcoin is a kind of digital hard money. It's what gold used to be before central banks learned how to break the rules. In that sense, it's the Austrian ideal: money that can't be inflated, printed, or manipulated on a whim.

Choosing Something Better

Austrian economists don’t think inflation is inevitable. They think it’s a choice — one made by institutions that benefit from it. Their alternative is simple: sound money, honest signals, and monetary systems that people actually trust.

Some still advocate for a return to gold. Others are now pointing to decentralized digital currencies. But all of them share the same core belief: real value comes from scarcity, transparency, and choice.

Inflation isn’t just a financial problem — it’s a human one. It erodes trust. It rewards the powerful at the expense of the ordinary. And if we don’t question it, we’ll keep living in its shadow.

But if we do start asking better questions — about what money is, who controls it, and what alternatives exist — we might find that a different kind of system is not only possible, but already being built.